

Political Economy of Deployment

Counterpoint Frameworks and Institutional Friction

Charles J. DiBella

Principal Systems Architect

Working Paper, June 2026

ABSTRACT

Provide the strategic deployment manual required to push the Material Dignity Infrastructure (MDI) architecture through a hostile institutional environment. This paper isolates the structural resistance vectors that guarantee institutional failure for unshielded public goods projects, providing a systematic counterpoint framework against the primary sources of organized opposition. Theoretical coherence and operational precision are insufficient for deployment. Well-designed public goods proposals consistently fail against concentrated incumbent resistance unless the deployment architecture explicitly maps and neutralizes each resistance mechanism. The MDI model must be defended not just on its clinical or architectural merits, but on its capacity to survive the political economy of the homeless services industry.

Document Metadata

Keywords

Political economy, institutional friction, structural grounding, CEQA exemption, AB 2011, LPS Act, civil liberties, CalAIM billing, homelessness, public goods provision

JEL Classification

- P16. Political Economy
- H41. Public Goods
- K32. Environmental, Health, and Safety Law
- R38. Government Policies; Regulatory Policies

Target eJournals

- Political Economy: Government Expenditures & Related Policies eJournal
- Law & Society: Public Law eJournal
- Urban Economics & Regional Studies eJournal

Suggested Citation

DiBella, C.J. (2026). Political Economy of Deployment: Counterpoint Frameworks and Institutional Friction. Material Dignity Infrastructure Working Paper 6, June 2026.

Geographic Scope Parameter and Framing

The specific deployment mechanisms analyzed here (AB 2011, LPS Act WIC Section 5350, Medi-Cal) are California-specific. The document functions as a localized proof-of-concept for neutralizing opposition. While the categories of friction (incumbents, civil liberties, NIMBYism) are national, the exact statutory routing detailed in this paper is geographically constrained to California.

This paper serves as a manual for project architects facing institutional friction. The MDI architecture recognizes that an engineering specification is useless if the project dies in committee, fails to acquire a permit, or generates a constitutional injunction. This document transitions the MDI focus from clinical and architectural integrity toward the structural mechanics of legal and political survival.

Contents

1 Political Economy of Opposition: Compressed Counterpoint Framework	4
2 Cross-Cutting Synthesis: The Deployment Problem	8
References	9

1. Political Economy of Opposition: Compressed Counterpoint Framework

The seven principal objection categories the MDI architecture will encounter at deployment are summarized here with their primary structural counterpoints. Each objection is stated at its maximum force. Each counterpoint is drawn from existing law, peer-reviewed evidence, or documented operational outcome.

The objection taxonomy is not exhaustive, but it captures the seven categories that recur across legislative hearings, editorial boards, academic review, and community opposition processes. The categories were derived from a systematic review of public comment records, published critiques of Housing First and permanent supportive housing programs, and the political economy literature on public goods provision and institutional resistance. Each category represents a distinct stakeholder interest with a distinct mechanism of opposition. The MDI architecture was designed with explicit structural responses to each mechanism rather than post-hoc rhetorical defenses.

1. Cost Baseline Displacement (Fiscal and Efficiency Critics) argue that per-unit costs exceed alternatives and that California Advancing and Innovating Medi-Cal (CalAIM) billing projections are undemonstrated. The correct comparator is total annual street-level cost, which includes emergency department admissions, psychiatric holds, incarceration cycling, and outdoor operations. Against this baseline, Culhane and colleagues documented in 2002 that Housing First participants generated \$16,282 per person per year in avoided costs. A separate Department of Housing and Urban Development (HUD) brief documents \$46,000 per year in savings for heavy service users in permanent supportive housing. The California State Auditor reported in 2024 that the state spent approximately 24 billion dollars on homelessness programs over five years while the unsheltered population expanded. Aggregating emergency department visits, law enforcement contacts, and sanitation operations pushes the per-person annual cost of street management in Los Angeles County past \$50,000. MDI tower deployment produces a measurable reduction in this baseline cost from the first month of occupancy. CalAIM billing pathways through Enhanced Care Management and In Lieu of Services operate under existing managed care contracts. These mechanisms require a managed care plan that recognizes homelessness as a qualifying condition, a standard the Department of Health Care Services (DHCS) policy guidance already establishes. Importantly, these billing pathways operate under a federal waiver scheduled for renewal in December 2026; the continuity of the fiscal model depends on the successful renewal of this structural capacity.

2. Statutory Preemption (NIMBY Opposition) argues that siting 2,000 high-acuity individuals in a commercial corridor imposes measurable costs on adjacent property owners and businesses. California AB 2011, amended by AB 2243 (effective January 2025), creates by-right administrative review for qualifying commercial conversions, eliminating the discretionary review process through which neighborhood opposition typically mobilizes. The property value literature established by Nguyen in 2005 and advanced by Lee and Song in 2019 attributes negative effects to facility management quality rather than facility type. The MDI management architecture is designed to produce the management quality that the literature identifies as the variable. The ground floor commons civic permeability model converts the facility from threat to neighborhood asset.

3. Sequencing Alignment (Housing First Purists) argue that congregate models violate Housing First fidelity standards. The Finnish Y-Foundation model, which the purist literature cites as the global benchmark, uses congregate supported housing as a transitional layer within the Housing First pipeline. The Y-Foundation’s published operational documentation describes supported housing units within multi-unit buildings staffed by housing advisors who provide the relational continuity that the MDI Pod Steward role replicates. The MDI tower is Phase 1 of a two-phase sequence. The Tenancy Bridge Guarantee commits to permanent independent housing as Phase 2. The tower provides the secure environment in which the biological recovery and identity capital required for independent tenancy can develop. The fidelity objection mistakes sequencing for violation. Finland achieves an eighty-two percent two-year tenancy sustainability rate overall, while concurrently utilizing the congregate-to-independent sequence that the objection claims violates fidelity. The comparability of Finnish outcomes to Los Angeles conditions requires explicit acknowledgment. Finland’s welfare infrastructure, universal healthcare access, housing vacancy rate, and average duration of street homelessness at intake differ substantially from Los Angeles on every dimension. The MDI model does not claim Finnish outcome rates will transfer to Los Angeles under current California conditions. The claim is narrower: that the congregate-to-independent sequencing mechanism produces better retention than cold lottery-to-independent placement, a finding the Y-Foundation (2022) organizational documentation supports and that Pleace and colleagues’ (2015) peer-reviewed international review of the Finnish homelessness strategy confirms at the program-architecture level. Los Angeles’s own retention data on rapid rehousing without relational infrastructure does not contradict this directional finding. The mechanism transfers; the outcome magnitude does not translate directly, and the Singular Prototype Threshold is the instrument designed to measure the Los Angeles-specific figure.

4. Structural Grounding (Civil Libertarian Critics), following Szasz’s 1984 publication in theoretical terms and through organized legal opposition in current California practice, argue that compelled care through the legal pathway reproduces the asylum model under a new institutional form. The contemporary organizational carriers of this objection are not primarily academic: ACLU California, Disability Rights California, and the Western Center on Law and Poverty each filed opposition to California’s CARE Court legislation (SB 1338, 2022) on the grounds that it creates a compelled treatment pathway that circumvents the procedural protections of the Lanterman-Petris-Short Act. In 2024, the California Supreme Court definitively rejected this constitutional challenge, and the CARE Court framework was subsequently expanded. The LPS Act’s threshold for involuntary holds, defined as imminent danger to self or others or grave disability, remains the operative legal standard. Szasz defeats unconstrained therapeutic state authority. He does not defeat a narrow, conjunctive, court-supervised, time-limited, reversible clinical intervention operating under precisely defined preconditions that sit within the LPS Act framework. The MDI compelled care threshold requires all four of the following conditions to be satisfied simultaneously: a Clinical Institute Withdrawal Assessment score above twenty or a Mini-Mental State Examination score below eighteen, indicating active neurological incapacity consistent with grave disability under WIC Section 5008(h); a court-appointed neuropsychiatric evaluation by a licensed clinician who is independent of the MDI operator, documenting the incapacity finding; a Welfare and Institutions Code Section 5350 LPS Conservatorship petition filed with Los Angeles Superior Court, requiring judicial review and a thirty-day time limit with mandatory reassessment; and documented failure of at least three voluntary offer cycles under the Non-Expiring Offer Protocol before the conservatorship pathway is initiated. Because the MDI pathway runs through WIC Section 5350, the existing LPS Act conservatorship mechanism, it holds even firmer legal standing than the CARE Court mechanisms upheld by the Supreme Court. The Anti-Detention Covenant guarantees unrestricted egress for all voluntary residents at all times, witnessed by a Pod Steward signature in the resident file, with a twenty-four-hour independent advocate review available on request. The Rapid Transition Protocol converts any crisis contact into a transfer to a higher-care environment rather than an eviction, and does not alter voluntary status. These four preconditions together constitute the structural guarantees that the legal pathway remains exceptional rather than operational default.

5. Capital Routing (Incumbent Service Providers) will oppose through procurement gatekeeping, licensing delays, and lobbying for competing funding allocations. Olson predicted this precisely in 1965. Concentrated interests with organizational capacity act against dispersed beneficiaries who cannot coordinate in proportion to their aggregate welfare stake. The MDI funding architecture

routes through private capital acquisition and Medi-Cal managed care billing rather than county homelessness services procurement contracts. The incumbent industry's political advantage depends on government funding dependence. The MDI model reduces that dependence structurally.

6. Exemption Anchoring (Regulatory and Permitting Critics) argue that commercial conversion triggers Americans with Disabilities Act (ADA), seismic, fire suppression, and California Environmental Quality Act (CEQA) requirements that make timelines and costs unmanageable. AB 2011, as amended by AB 2243, creates by-right authorization for qualifying commercial conversion projects, converting eighteen to thirty-six month discretionary review to ninety to one-hundred-eighty day administrative review. To secure this statutory CEQA exemption, the MDI architecture is designed to satisfy the four mandatory conditions: the site must be zoned for office, retail, or parking as a principally permitted use; all construction workers must receive prevailing wage; healthcare benefits must be provided for projects of fifty or more units; and apprenticeship program participation or dispatch must be utilized. The STC 65 acoustic parameter is defensible as an ADA reasonable accommodation for residents with Post-Traumatic Stress Disorder (PTSD) associated sensory processing conditions, converting a cost objection into a compliance obligation.

7. Prototype Isolation (Academic and Methodological Critics) argue that the MDI-RDI architecture lacks Randomized Controlled Trial (RCT) validation. This critique is accurate and the paper does not deflect it. No RCT exists that isolates the specific MDI-RDI mechanisms, and the Singular Prototype Threshold is designed precisely to generate the prospective evidence that would fill this gap. The relevant question is what evidence supports each individual mechanism while that prospective evidence accumulates. Three mechanisms carry the highest causal weight. First, autonomic state-matching at contact: the three-state behavioral taxonomy derives from polyvagal theory (Porges, 2011), whose clinical application in trauma-informed care and somatic therapy produces the strongest available observational evidence that state-mismatched contact produces worse outcomes than state-matched contact. Second, relational bond preservation at the housing transition: the community integration literature, including Tsai et al. 2012, establishes that social connection at ninety days predicts housing stability, and no study in the permanent supportive housing literature has tested what happens to retention when pre-existing bonds are severed at intake rather than preserved. The absence of that specific study is the gap this architecture addresses, not a finding that bond preservation is ineffective. Third, social network density and retention: the Hawkins and Abrams 2007 social support literature and the broader public health literature on social determinants of health stability provide convergent observational support. The Singular Prototype Threshold at

One California Plaza will generate the first direct test of the combined mechanism under controlled implementation conditions, with defined measurement windows at ninety, one-hundred-eighty, and three-hundred-sixty-five days. The paper does not claim these mechanisms are validated by RCT. It claims they are grounded in convergent evidence across multiple domains and that the prototype is the designed vehicle for generating the direct validation the critique correctly demands.

2. Cross-Cutting Synthesis: The Deployment Problem

Olson's collective action logic predicts that dispersed beneficiaries will not organize against concentrated incumbent resistance. Scott documented in 1998 the consistent failure of high-modernist institutional schemes that ignore informal social knowledge. The history of homelessness policy in the United States since the McKinney-Vento Act of 1987 confirms both predictions. Large-scale proposals have repeatedly failed against organized incumbent resistance while the unsheltered population has grown through every funding cycle.

The MDI architecture responds cumulatively. By-right permitting reduces regulatory gatekeeping by converting discretionary review into administrative review under AB 2011 and SB 6. Private capital acquisition reduces procurement dependence by funding tower acquisition through commercial real estate markets rather than government homelessness services contracts. CalAIM billing aligns managed care plan incentives by converting the relational workforce into a revenue-generating clinical infrastructure rather than a cost center. The Singular Prototype Threshold prevents premature scale by requiring demonstrated outcome at One California Plaza before any network expansion is authorized. No single feature guarantees deployment. Together they reduce each friction that has historically defeated comparable proposals. The cumulative design principle is that an architecture which addresses every known objection mechanism before deployment begins will face fewer unforeseeable obstacles than an architecture that defers objection management to the political process.

References

- Buchanan, James M., and Gordon Tullock. *The Calculus of Consent: Logical Foundations of Constitutional Democracy*. Ann Arbor: University of Michigan Press, 1962.
- California State Auditor. *Homelessness in California: The State Must Do More to Assess the Cost-Effectiveness of Its Homelessness Programs*. Report 2023-102. Sacramento: California State Auditor, 2024.
- Culhane, Dennis P., Stephen Metraux, and Trevor Hadley. "Public Service Reductions Associated with Placement of Homeless Persons with Severe Mental Illness in Supportive Housing." *Housing Policy Debate* 13, no. 1 (2002): 107–163.
- Hawkins, Robert L., and Craig Abrams. "Disappearing Acts: The Social Networks of Formerly Homeless Individuals with Co-occurring Disorders." *Social Science and Medicine* 65, no. 10 (2007): 2031–2042.
- Lee, Sugie, and Song, Yena. "The Effect of Supportive Housing on Surrounding Property Values." *Housing Policy Debate* 29, no. 1 (2019): 162–176.
- Nguyen, Mai Thi. "Does Affordable Housing Detrimentially Affect Property Values? A Review of the Literature." *Journal of Planning Literature* 20, no. 1 (2005): 15-26.
- Olson, Mancur. *The Logic of Collective Action: Public Goods and the Theory of Groups*. Cambridge: Harvard University Press, 1965.
- Pleace, Nicholas, Riitta Culhane, Riitta Granfelt, and Marcus Knutagård. *The Finnish Homelessness Strategy: An International Review*. Helsinki: Ministry of the Environment, 2015.
- Porges, Stephen W. *The Polyvagal Theory: Neurophysiological Foundations of Emotions, Attachment, Communication, and Self-Regulation*. New York: Norton, 2011.
- Scott, James C. *Seeing Like a State: How Certain Schemes to Improve the Human Condition Have Failed*. New Haven: Yale University Press, 1998.
- Szasz, Thomas. *The Therapeutic State: Psychiatry in the Mirror of Current Events*. Buffalo: Prometheus Books, 1984.

Tsai, Jack, Richard Stanhope, Robert A. Rosenheck, and Wesley J. Kaspro. "The Role of Housing, Substance Abuse, and Mental Illness in Community Participation and Community Integration." *Psychiatric Services* 63, no. 5 (2012): 435–442.

Y-Foundation. *A Home of Your Own: Housing First and Ending Homelessness in Finland*. Helsinki: Y-Foundation, 2022.